

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)

ONE AND ONE NA VERIFIED MOTION TO DISMISS

For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss incorporated below, Respondents Ocean Network Express Pte. Ltd. (“ONE”) and Ocean Network Express (North America), Inc. (“ONE NA”) move to dismiss the Order of Investigation and Hearing in this matter dated December 30, 2021 (“Order”).

MEMORANDUM IN SUPPORT OF MOTION TO DISMISS

INTRODUCTION

Respondent ONE moves to dismiss the Order on the ground that the allegations therein fail to state a claim as to which relief could be granted against ONE. Putative Respondent ONE NA moves for dismissal on the ground that the Commission lacks both personal jurisdiction over ONE NA and subject matter jurisdiction over the claims as to ONE NA, because ONE NA is not an ocean common carrier.

Both motions are dispositive motions and are therefore subject to FMC Rules 69(g) and 70. 46 C.F.R. §§ 502.69(g) and 502.70.¹

Under the Commission's Rules of Procedure (Rule 62(b)(1)), filing of this motion defers the date for ONE's Answer until 10 days after service of an order denying the motion. 46 C.F.R. § 502.62(b)(1). Although ONE expects the motion to be granted, obviating any need for an Answer, it also recognizes the desire for expedition if the motion is not granted. Accordingly, ONE agrees that, if the Presiding Officer denies this Motion, ONE will file its Answer within 5 days following service of any such denial (subject, of course, to the usual Rules on counting, including as to due dates that fall on weekends and holidays; and preserving all rights of appeal).

BACKGROUND

As the Presiding Officer knows, this matter began as a private complaint by Greatway Logistics Group, LLC ("Greatway"), which raised the very same factual allegations as to ONE in *Greatway Logistics Group, LLC v. Ocean Network Express, PTE. LTD.*, Docket No. 21-04, and in which the Commission's Bureau of Enforcement ("BOE") moved for and was granted the status of intervenor. 2021 FMC LEXIS 122 (Order granting motion to intervene). ONE and Greatway reached a commercial settlement of the dispute, which was approved by the Presiding Officer and made administratively final by the Commission. 2021 FMC LEXIS 190 (ALJ 2021) (Admin. Final). BOE decided not to join the settlement or to continue settlement discussions.

¹ We note that Rule 70(a) states that a dispositive motion must include, *inter alia*, "a statement of material facts with exhibits as appropriate." 46 C.F.R. § 502.70(a). ONE assumes that the qualifier "as appropriate" means that a motion to dismiss (other than for jurisdiction) need not contain such a statement, as it is premised on acceptance of all well-pleaded allegations, and introduction of outside facts is not permitted without a decision by the Presiding Officer to convert the motion into a motion for summary judgment.

On Friday, December 30, 2021, the last business day of 2021, the Commission issued the Order. And it did so without granting ONE the procedural opportunity, specified in its regulations, to make its arguments before issuance of the Order. 46 C.F.R. § 502.63(d). In response to the Commission's decision to waive its procedural rules without real explanation, ONE filed a Petition for Reconsideration and Recission. On January 28, 2022, the Commission denied the Petition on procedural grounds, without addressing either how it had reached its decision to waive the rules or its decision to issue the Order. Accordingly, as the Commission has decided that it was not the appropriate entity before which ONE should raise its claims, ONE files this motion to dismiss, to have the substantive matters addressed by the Presiding Officer.

STANDARDS FOR MOTIONS TO DISMISS

Although the FMC Rules do not expressly provide for a motion to dismiss (or for a post-Answer motion for judgment on the pleadings), it is well established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. See, e.g., *YSN Imports Inc. v. Oberlander*, 2021 FMC LEXIS 104 at *2-3 (ALJ Order, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 2018 FMC LEXIS 45 (ALJ Order 2018) As the Presiding Officer explained in *YSN Imports*, “the ‘Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.’ *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020).” *YSN Imports* at *3.

The standards for consideration of a motion to dismiss differ, depending on whether it is brought for failure to state a claim [12(b)(6)] or for lack of personal/subject matter jurisdiction

[12(b)(1)]. For a motion to dismiss for failure to state a claim, "the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC 2015))." *YSN Imports* at * 3. This does not mean, however, that the Presiding Officer is required to credit everything said in the Order. Rather, as she has elsewhere explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is ***plausible on its face***." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). . . . *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC 2011). "***A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'***" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

YSN Imports at *3 (emphases added)

"Nor does a complaint suffice if it 'tenders 'naked allegation[s]' devoid of 'further factual enhancement.'" *Iqbal* at 677 (quoting *Twombly*).

The requirement of assuming that all well-pleaded allegations are true is not necessarily applicable to claims for lack of personal or subject matter jurisdiction pursuant to Rule 12(b)(1). In that case, respondent has a choice of making a facial attack on jurisdiction – in which case well-pleaded allegations are assumed true – or a factual attack, in which such allegations in the complaint must be supported by evidence:

With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, ***irrespective of the pleadings***, and matters

outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. . . . *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).

Carlstar Group LLC v. UTI United States, Inc., 2018 FMC LEXIS 45 (ALJ Order 2018) (emphasis added).²

Or, as the Presiding Officer has more recently explained:

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if the court lacks subject matter jurisdiction. A Rule 12(b)(1) motion "may assert either a factual attack or a facial attack to jurisdiction." *DNB Exports*, 2011 FMC LEXIS 26, *7 (citations omitted). A facial attack challenges the sufficiency of the allegations in the complaint while a factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." *Id.* "[T]he plaintiff bears the burden of establishing that the court has jurisdiction." *Grand Lodge of Fraternal Order of Police v. Ashcroft*, 185 F. Supp. 2d 9, 13 (D.D.C. 2001); see also *DNB Exports*, 2011 FMC LEXIS 26, *9. *Dukart v. Ocean Star International Inc.*, 2020 FMC LEXIS 134 (ALJ Order 2020).

ARGUMENT REGARDING ONE NA

We start with the motion of ONE NA because it is simple and irrefutable. The Commission has neither personal jurisdiction over ONE NA nor subject matter jurisdiction over BOE's claims against ONE NA. As stated above, it is BOE's burden to prove that the Commission has jurisdiction over ONE NA. It has not even tried.

1. Personal Jurisdiction. The FMC's regulatory jurisdiction extends only to certain types of entities (often referred to as "regulated entities") – those are "Ocean Common Carriers," "Marine Terminal Operators," "Non-Vessel-Operating Common Carriers," and "Ocean Freight Forwarders." There is no suggestion in the Order that ONE NA is an NVOCC, Marine Terminal Operator, or Ocean Freight Forwarder, and indeed, ONE NA is none of those. Personal

² See, e.g., *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2017 FMC LEXIS 4 (ALJ 2017).

jurisdiction over ONE NA must thus be founded, if at all, on a claim that ONE NA is an ocean common carrier.

The Order fails even to allege that ONE NA is an ocean common carrier, much less allege facts that would support such a finding. Instead, the Order simply conflates ONE NA with ONE, then alleges that ONE is an ocean common carrier. Thus, the Order makes no specific claim that ONE NA is an ocean common carrier, and so must be dismissed even under a facial analysis.

Even if the Order were to pass facial muster, it would necessarily fail a factual analysis. An ocean common carrier is a “common carrier” that operates the vessels by which transportation is provided. To be a common carrier, an entity must: (i) hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation; (ii) assume responsibility for the transportation of origin to destination, and (iii) use for all or part of the transportation a vessel operating on the high seas. 46 U.S.C. § 40102(18).

As demonstrated by the attached verification, ONE NA is not a common carrier, but only an agent for ONE. ONE NA does not hold itself out to the public to provide transportation of any sort, much less between the United States and a foreign country; nor do shippers pay ocean freight and other charges to the account of ONE NA. ONE NA takes no responsibility for the cargo; that again, is ONE. The distinction between ONE and ONE NA is recognized by the Commission in its list of VOCC tariffs, where ONE is listed as an ocean common carrier, but

ONE NA is not.³ Finally, ONE NA does not operate any vessels, and so could not be an ocean common carrier even if it were a common carrier (which it is not).

As noted above, there is nothing in the Order to challenge the verified fact that ONE NA is not an ocean common carrier. Nor can BOE ethically claim to the contrary that the FMC website is incorrect, and ONE NA is itself an ocean common carrier. There is simply no basis on which BOE can profess that it has “knowledge, information, and belief formed after reasonable inquiry,” that ONE NA is an ocean common carrier. See Rule 6(a), 46 C.F.R. § 502.6(a).

2. Subject Matter Jurisdiction. Because ONE NA is not a regulated entity, the FMC also lacks subject matter jurisdiction. The only provision of the Shipping Act that the Order claims may have been violated is 46 U.S.C. § 41102(c). That provision applies by its terms only to a “common carrier, marine terminal operator, or ocean transportation intermediary.” *Id.* And as demonstrated above, ONE NA is not alleged to be and is in fact not one of those regulated entities.

For both of the above reasons, ONE NA must therefore be dismissed from this proceeding.

³ See, FMC VOCC list available at <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>.

ARGUMENT CONCERNING ONE⁴

The burden of proof is on BOE to establish each element of the alleged violation. 46 C.F.R. § 502.203. See also, e.g., *John T. Barbour, et. al. – Possible Violations of Section 8 and 19 of the Shipping Act of 1984*, 2016 FMC LEXIS 1, *12 (ALJ 2016). It is not necessary at this time to address all of the elements, but among the matters that BOE must establish in order to prove that ONE violated 46 U.S.C. § 41102(c), are that: (i) “the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis” 46 C.F.R. § 545.4(b); and (ii) that “the practice or regulation is unjust or unreasonable.” 46 C.F.R. § 545.4(d). As we show below, however, the allegations of the Order, are insufficient to establish either of these two essential elements of a 46 U.S.C. § 41102(c) violation, even if such allegations are assumed to be true (which many of them are not).

1. **“Practice.”** As quoted above, BOE bears the burden of proving that the actions alleged “are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). In crafting this rule, the Commission emphasized that, “to find a violation of 46 U.S.C. § 41102(c), the Commission [has] consistently required that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64479 (Dec. 17, 2018)(Final Rule)(footnotes and citations omitted)(“Interpretive Rule”).

⁴ If, for some reason, the Presiding Officer finds, contrary to the showing above, that the Commission has personal jurisdiction over ONE NA and subject matter jurisdiction over this dispute as to ONE NA, the proceeding would still need to be dismissed against ONE NA, for the same reasons discussed below with respect to ONE.

The allegations of the Order, even when assumed to be true, do not come close to meeting these requirements.⁵

The main allegations of the Order regarding the activity that is purported to be a “practice” are (1) that “ONE’s actions described above constitute its normal, customary and continuous business practice” [Allegation 27] and (2) that ONE “overbroadly defined and applied the definition of merchant in its BOL in such a manner as to unilaterally impose joint and several liability for freight and/or charges on *a party* with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the BOL.” Allegation 2 (emphasis added). These are not allegations of fact, but rather of subjective labels or conclusions that may not be credited under the teachings of *YSN Imports* and *Iqbal*. The first, moreover, is merely “a formulaic recitation of the elements of a cause of action,” which *YSN Imports* and *Iqbal* say “will not do.”

Apart from the conclusory repetition of the regulatory requirement, nothing in the Order speaks to “a normal, customary, and continuous basis.” As quoted above, Allegation 2 alleges only a single incident in which ONE assertedly imposed liability on “a party.” That singular action cannot conceivably be stretched to a “normal, customary, often repeated, systematic, uniform, habitual, and continuous” way in which ONE did business. Interpretive Rule, *supra*. These are at best “‘naked allegation[s]’ devoid of ‘further factual enhancement.’” *Iqbal* at 677 (quoting *Twombly*).

⁵ BOE has acknowledged both that a bill of lading is not, itself, a “practice” and that the FMC does not have jurisdiction over the substance of carrier bills of lading. See, e.g., *Definition of Package under COGSA*, 22 S.R.R. 111 (1985), where the Commission stated: (i) the Shipping Act “do[es] not authorize the agency to prescribe the substantive content of bills of lading.” (*Id.* at 14 (emphasis in original); and (ii) that courts are, under COGSA, the “exclusive forum” for adjudicating substantive claims about bills of lading. (*Id.*).

The singular nature of the action claimed to be a practice is further betrayed by the Order's more detailed allegations of what ONE is claimed to have done. Allegations 11 to 23. The Order alleges *only a single instance* (i.e., the Texas Litigation) whereby ONE even attempted to enforce its bill of lading charges against an entity that was not a bill of lading shipper or consignee.⁶ In that case, ONE brought *one* federal court case against multiple defendants, including Greatway, regarding two, related bills of lading. After preliminary discovery, settlement negotiations, and a mediation that Greatway voluntarily attended, ONE dismissed its claims against Greatway.⁷ These allegations of a singular episode cannot possibly be deemed a "practice" as required to make out a claim under 46 U.S.C. § 41102(c); 46 C.F.R. § 545.4(b). It strains reason to suggest that a single lawsuit, encompassing two, inter-related shipments, constitutes a normal, customary, often repeated, or uniform series of actions.

Commission precedent likewise forbids any such deviation from common sense. In *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2020 FMC LEXIS 192 (FMC 2020), for example, the Commission held that three failures to deliver cargo to the correct party was not frequent or regular enough to constitute a practice. In so holding, the Commission explicitly agreed with the Presiding Officer's finding that the complainant's speculation that RDD "might have acted similarly regarding 'other clients past and present' was insufficient to prove normal, customary and continuous conduct." *Id.* at *9. Likewise, in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2020 FMC LEXIS 238 (ALJ 2020), *aff'd*, 2021 FMC

⁶ See, e.g., Allegation 26, which alleges that the only action alleged to be unreasonable is that ONE "applied its definition of a merchant to demand payment from Greatway."

⁷ BOE cannot ethically allege that there are other instances of similar actions by ONE, as BOE well knows (as again verified in this Motion) that there are no other instances in which ONE has ever attempted to seek payment of its rates and charges from a non-shipper/consignee, premised on the definition of "Merchant" in ONE's bills of lading.

LEXIS 125 (FMC 2021), the Presiding Officer concluded that two similar actions by Marine Transport Logistics, LLC were not enough to make out a practice. In affirming the Initial Decision, the Commission explained that: “[t]he essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct.” 2021 FMC LEXIS 125, *14 (citations omitted). Accordingly, it held that:

Crocus has not proved that Marine Transport’s conduct occurred on a normal, customary, and continuous basis as required by § 545.4. Crocus points to only one prior occasion when Marine Transport was found in violation of § 41102(c) for conduct related to storage fees on export cargo, and that occurred in December 2007 and involved a single shipment of three vehicles. 2021 FMC LEXIS 125, *3 (citations omitted).

More directly to the point here, the Commission reaffirmed its prior holdings that **two, three, or even six** instances in a short period does not make out a practice.

An "occasional transaction" or isolated act is not a "practice." *Stockton Elevators*, 8 F.M.C. at 201. ***Two or three incidents over a short time period*** are ***not enough*** to show that the conduct in question is an entity’s normal and customary practice. *Hangzhou*, 2020 FMC LEXIS 192, at *7 (releasing 3 shipments to the same consignee without an original bill of lading over a 2-month period insufficient to show that was respondent’s normal practice or that it was customary or continuous). ***Even six*** instances of “unreasonable conduct” carried out over a period of several months involving the same entities have been ruled ***insufficient*** to prove that conduct was “uniform or continuous” under § 41102 (or its predecessor, section 17 of the Shipping Act). *Stockton Elevator*, 8 F.M.C. at 200-201 (charges to the same customer inconsistent with tariff rates on six occasions amounted to a ‘single transaction’).

Id. at *15 (emphasis added).

To like effect, in the recent decisions in *Marie Carew v. Maersk Line A/S*, 2021 FMC LEXIS 183 (I.D.)(Admin. Final 2021), the Presiding Officer concluded that ***four*** instances of alleged misconduct did not make out a practice, and in *Andrew v. Marine Transport Logistics, Inc.*, 2022 FMC LEXIS 24 (I.D. 2022), the Presiding Officer held that “evidence regarding the vehicles at issue in this proceeding and shipments in a few other FMC proceedings” did not

suffice “to show that [Respondent] engaged in the allegedly unreasonable conduct on a normal, customary, and continuous basis.” *Id.* at *30, *33.

Whether ONE’s actions are viewed either as a single lawsuit or two bills of lading, Commission precedent shows that they do not constitute a “practice” under the Shipping Act. Even if they are viewed as two actions, two is less than or equal to the two, three, four, and six incidents that the Commission has repeatedly deemed insufficient for a “practice.” Indeed, the instant matter – involving one lawsuit covering two bills of lading is even more of a “single transaction” than the six similar actions in *Stockton Elevators*.⁸

ONE is aware that, in *MAVL Capital, et al. v. Marine Transport Logistics, Inc.*, 2021 FMC LEXIS 161 (ALJ 2021), the Presiding Officer found a practice based on what appears to be an inference or presumption that where a carrier is authorized by its bill of lading to take specified actions, the provision itself can provide evidence of the carrier’s normal business practice. Because the Initial Decision in *MAVL* is now pending before the Commission, we refrain from commenting on the use of such an evidentiary inference in that case and instead limit ourselves to a few comments about the possible extension of that inference to the case at hand.

Most importantly, the Presiding Officer’s opinion in *MAVL* makes clear that the finding was limited to the specific facts of the case, stating: “MTL does not assert that this was a mistake **or an isolated incident**, rather, MTL contends that it was entitled to sell the vehicles to cover storage fees.” *Id.* at *39. Here in contrast, the Order itself acknowledges that activity was a very isolated incident. Further, any such evidentiary inference must be subject to an evidentiary

⁸ *Investigation of Certain Practices of Stockton Elevators*, 8 FMC 181 (1964).

showing to the contrary. See, e.g., FED. R. EVID. 301(Any presumption is rebuttable unless the governing statute provides otherwise); *Vlandis v. Kline*, 412 U.S. 441 (1973) (irrebuttable presumption improper where the matter presumed “is not necessarily or universally true in fact”); *Board of Education v. Califano*, 1977 U.S. Dist. LEXIS 12853 (E.D.N.Y. 1977) (“Irrebuttable presumptions are disfavored.”). As the Order acknowledges, and BOE knows, ONE has never, apart from the unique factual circumstances giving rise to the Texas Litigation, attempted, and ONE does not attempt, to impose liability for ocean freight and associated storage and demurrage charges on any entity that does not appear as a shipper or a consignee on a straight bill of lading. Thus, even if the MAVL evidentiary inference were to apply here, it stands firmly rebutted.

2. **Reasonableness.** Even if, contrary to the showing above, the allegations in the Order are deemed adequate to make out a practice, they plainly fail to make out a plausible claim that the practice was “unreasonable.”

The Order makes no attempt to show that ONE’s actions (even if considered a practice) were unreasonable. It makes only conclusory allegations that ONE applied its merchant clause “overbroadly” or “unreasonably” (Allegations 2 and 26) but offers no facts to back up those “‘naked allegation[s]’ devoid of ‘further factual enhancement.’” *Iqbal* at 677 (quoting *Twombly*). Such unadorned claims are patently insufficient.

The only assertions in the Order that might be considered as supplements to the unadorned conclusions are to the effect that ONE applied its merchant clause to Greatway. But those allegations must also fail, as they are insufficient to raise a claim under both federal and FMC precedents.

It is not necessary to address here the multiple ways in which the Order distorts both the role that Greatway played in the transportation and what took place in the Texas Litigation. The important point for the present is that both the courts and the Commission have said there is nothing unreasonable about seeking to impose liability on the agent of a disclosed shipper, consignee, or carrier.

In *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, for example, the court concluded that the defendant could not be held liable solely based on being a notify party on the bill of lading but stated that the ***defendant would be liable*** if it were shown to be an ***agent of the consignee***. 2021 U.S. Dist. LEXIS 223441 (S.D.N.Y. 2021) (emphasis added). Likewise, in *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, the court concluded that ***an agent of the shipper was*** liable for transportation charges. 46 F. Supp. 3d 294 (S.D.N.Y. 2014) (emphasis added). See, e.g., *A.P. Moller-Maersk A/S v. Safewater Lines (I) Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017) (entity may be liable based either on agency for shipper/consignee or control over the cargo).⁹

The Commission has likewise looked kindly on the practice of holding agents responsible for the obligations of their disclosed principals. It has, for example, repeatedly held: (i) that vessel agents may be held liable for the terminal charges of their disclosed principles; and (ii) that such a practice is reasonable because it allows terminals to more easily and reliably collect charges without having to go after distant carriers and because agents can always protect themselves by requiring indemnity clauses or advance of charges from their principals. As the Presiding Officer summarized in *Burlington Northern Railroad Co. v. M.C. Terminals, Inc.*,

⁹ BOE has expressly stated that it accepts the premise that an ocean common carrier may sometimes hold a non-party to the bill of lading responsible for payment.

1992 FMC LEXIS 22 (I.D. 1992), adopted in relevant respects 1993 FMC LEXIS 31 (FMC 1993), “the Commission has held that vessel agents may be required to pay terminal charges incurred for services rendered to the agents' principals, the vessel owners.”. See, e.g., *West Gulf Maritime Association v. Port of Houston Authority*, 21 FMC 240 (1978) (holding that a terminal could impose liability for charges to the vessel agents and stating that agency law does not control under the Shipping Act; *West Gulf Maritime Association v. Port of Houston Authority*, 22 FMC 420 (FMC 1980), affirmed without opinion *sub nom. West Gulf Maritime Association. v. Fed. Maritime Comm’n*, 652 F.2d 197 (D.C. Cir. 1981) (holding it reasonable for a marine terminal operator to hold vessel agents liable for services rendered to the vessel); *Palmetto Shipping & Stevedoring Co. v Georgia Ports Authority*, 1988 FMC LEXIS 13 (FMC 1988) (similarly stating that it had been “established” that “it is not unreasonable as a matter of law for a terminal operator to hold vessel agents liable for terminal charges incurred on behalf of vessel principals”) (emphasis in original); *NOSA v. Plaquemines Port*, 23 S.R.R. 1363, 1374-75 (FMC 1986)(similar); *City of Galveston v. Kerr Steamship Co.*, 362 F. Supp. 289 (S.D. Tex. 1973). Those cases also establish that agents could be held liable even though they did not agree to be bound by the terminal tariff/rules, so long as they were involved in the process.

Further, both the Commission and the courts have held that an entity with control over the cargo may be a beneficial cargo owner or otherwise liable for payments. See, e.g., *Petition of NCBFAA*, 28 SRR 1042, 1048-1051 (FMC 1999) (ocean freight forwarder with special control over the cargo may be deemed a beneficial cargo owner and hence a shipper); *Pacific Coast Fruit Distributors, Inc. v. Pennsylvania R.R. Co.*, 217 F2d 273, 275 (9th Cir. 1954) (control and direction over cargo may constitute acceptance of liability); *A.P. Moller-Maersk A/S v. Safewater Lines (I) Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017).

The Order does not allege any facts that would remove Greatway from the normal rule that agents may be liable for the obligations of their principles, even if such principals are disclosed. Nor does it allege that Greatway did not participate in the process (and indeed acknowledges that it did). Nor does it claim that Greatway had no control over the cargo. The Order is therefore deficient in the allegations necessary to state a claim and Respondents' motion to dismiss must accordingly be granted.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons:

- (i) Respondent ONE NA respectfully requests that it be dismissed from the proceeding for both lack of personal/subject matter jurisdiction and for failure to the Order to state a claim on which relief may be granted; and
- (ii) Respondent ONE respectfully requests that it be dismissed from the proceeding failure of the Order to state a claim on which relief may be granted.

Dated: February 4__, 2022

Respectfully submitted,

/s/ *Rebecca Fenneman*

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**ATTORNEYS FOR RESPONDENT
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VERIFICATION

I declare under penalty of perjury that the foregoing Petition for Reconsideration and Recission is true and correct.

For Ocean Network Express, PTE. LTD.:

By : Jacob Lee

Date : February 4, 2022

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CERTIFICATE OF SERVICE

I certify that on the 4 day of February, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

/s/ *Rebecca Fenneman*
Rebecca A. Fenneman

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